[KSERC EMBLEM]

KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:
Shri. T.K. Jose, Chairman
Adv. A.J. Wilson, Member
Shri. B. Pradeep, Member

Petition No.: OP No. __/2026

Date of Order: 04-03-2026

In the Matter Of:

Petition filed by M/s **KDHP** for the Truing Up of Accounts for the Financial Year **2024-25**.

Summary of Claimed vs Approved Expenditure and Revenue

Sl. No.	Particulars	Claimed (Rs. Lakhs)	Approved (Rs. Lakhs)	Variance (Rs. Lakhs)
	EXPENDITURE			
1	Power Purchase Cost	3,434.48	3,447.15	12.67
2	Employee Cost	257.53	257.53	0.00
3	Repairs & Maintenance	51.17	38.29	-12.88
4	Administration & General	23.30	14.80	-8.50
5	Depreciation	14.50	13.40	-1.10
6	Interest & Finance Charges	0.00	0.00	0.00
7	Return on Net Fixed Assets	0.00	0.00	0.00
8	Section 3(1) Electricity Duty	0.00	0.00	0.00
9	Other Expenses	7.47	7.47	0.00
	TOTAL EXPENDITURE	**3,788.45**	**3,778.64**	**-9.81**
	REVENUE			
10	Revenue from Energy Charges	0.00	0.00	0.00
11	Non-Tariff Income	124.07	124.07	0.00
12	Other Revenue	36.55	36.55	0.00
	TOTAL REVENUE	**160.62**	**160.62**	**0.00**

Detailed Analysis and Justification

1. Power Purchase Cost

Amount Claimed: Rs. 3,434.48 Lakhs | Amount Approved: Rs. 3,447.15 Lakhs | Variance: Rs. 12.67 Lakhs

The actual distribution loss of 9.10% is below the approved target of 9.60%, resulting in an efficiency gain of Rs. 19.00 Lakhs. As per KSERC Regulations, 2/3rd of the gain (Rs. 12.67 Lakhs) is passed to the licensee, making the approved PPC Rs. 3447.15 Lakhs.

2. Employee Cost

Amount Claimed: Rs. 257.53 Lakhs | Amount Approved: Rs. 257.53 Lakhs | Variance: Rs. 0.00 Lakhs

The actual distribution loss of 9.10% is below the approved target of 9.60%, resulting in an efficiency gain of Rs. 19.00 Lakhs. As per KSERC Regulations, 2/3rd of the gain (Rs. 12.67 Lakhs) is passed to the licensee, making the approved PPC Rs. 3447.15 Lakhs.

3. Repairs & Maintenance

Amount Claimed: Rs. 51.17 Lakhs | Amount Approved: Rs. 38.29 Lakhs | Variance: Rs. -12.88 Lakhs

No MYT norm available. Based on KSERC precedent from FY 2022-23, the Commission applied a 25.2% reduction. Approves Rs. 38.29 Lakhs.

4. Administration & General Expenses

Amount Claimed: Rs. 23.30 Lakhs | Amount Approved: Rs. 14.80 Lakhs | Variance: Rs. -8.50 Lakhs

No MYT norm available. Based on KSERC precedent from FY 2022-23, the Commission applied a 36.5% reduction. Approves Rs. 14.80 Lakhs.

5. Depreciation

Amount Claimed: Rs. 14.50 Lakhs | Amount Approved: Rs. 13.40 Lakhs | Variance: Rs. -1.10 Lakhs

As per KSERC Tariff Regulation 27, depreciation is computed using Straight Line Method at 5.28% on eligible fixed assets. precedent-adjusted (KSERC approved Rs. 12.18L in FY 2022-23). Depreciation of Rs. 1.10L disallowed on assets not eligible for depreciation recovery. Approved: Rs. 13.40L.

6. Interest & Finance Charges

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No MYT norm available. Based on KSERC precedent from FY 2022-23 (approved Rs. 5.07L), allowing up to 15% escalation.

7. Return on Net Fixed Assets

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No amount claimed under Return on Net Fixed Assets for FY 2024-25.

8. Section 3(1) Electricity Duty

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No amount claimed under Section 3(1) Electricity Duty for FY 2024-25.

9. Other Expenses

Amount Claimed: Rs. 7.47 Lakhs | Amount Approved: Rs. 7.47 Lakhs | Variance: Rs. 0.00 Lakhs

No MYT norm available. Based on KSERC precedent from FY 2022-23, the Commission applied a 36.5% reduction. Approves Rs. 14.80 Lakhs.

10. Interest on Normative Loan

Amount Claimed: Rs. 41.72 Lakhs | Amount Approved: Rs. 5.83 Lakhs | Disallowed: Rs. 35.89 Lakhs

No MYT norm available. Based on KSERC precedent from FY 2022-23 (approved Rs. 5.07L), allowing up to 15% escalation.

11. Other Debits

Amount Claimed: Rs. 24.89 Lakhs | Amount Approved: Rs. 1.68 Lakhs | Disallowed: Rs. 23.21 Lakhs

No MYT norm available. Based on KSERC precedent from FY 2022-23, the Commission applied a 93.2% reduction. Approves Rs. 1.68 Lakhs.

Orders of the Commission

Having examined the petition filed by M/s **KDHP** for the Truing Up of Accounts for the Financial Year **2024-25**, and having considered the submissions made therein, the Commission hereby orders as follows:

- The Total Revenue Requirement as claimed by the licensee is Rs. **3,855.06 Lakhs**.
- The Total Approved Expenditure after detailed scrutiny is Rs. **3,786.15 Lakhs**.
- The Total Revenue (including imputed interest of Rs. 0.00 Lakhs on accumulated surplus) is Rs. **3,868.08 Lakhs**.
- The Revenue Surplus for the Financial Year 2024-25 is hereby determined as Rs. **81.93 Lakhs** (surplus).
- The surplus of Rs. 81.93 Lakhs shall be retained in the regulatory surplus account of KDHP and adjusted against future revenue gaps, subject to imputation of notional interest as per KSERC practice.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-

Secretary

Order dated 04 March 2026